

TCS FINANCIAL STATEMENT ANALYSIS

FY2025-26 compared with FY2024-25 | Audited consolidated figures

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Executive conclusion

Tata Consultancy Services Limited (TCS) remained highly profitable and financially liquid in FY2025-26. Revenue grew 4.6% and operating cash flow rose 6.5%. Reported profit attributable to shareholders increased only 1.4% because FY2026 included INR 4,526 crore of exceptional charges. Excluding those charges, the company reported stronger underlying profit growth. The balance sheet expanded, equity increased, and the current ratio remained above 2.0, although the small decline in that ratio and the fall in year-end cash should still be monitored.

REVENUE

INR 267,021 cr

+4.6% year on year

SHAREHOLDER PROFIT

INR 49,210 cr

+1.4% reported

OPERATING CASH FLOW

INR 52,094 cr

+6.5% year on year

How to read this report: all amounts are in INR crore. The analysis uses consolidated figures, which include TCS and its subsidiaries. FY2026 means the year ended 31 March 2026.

Company and method

TCS is an Indian information technology services company listed on the National Stock Exchange under the symbol TCS. This report compares the two latest audited consolidated periods in the TCS Integrated Annual Report 2025-26. It uses horizontal analysis (year-on-year change), common ratios, and cash-flow review. No share-price-based valuation is included because P/E and P/B require one clearly defined market-price date.

Main findings

- Revenue increased by INR 11,697 crore, while total expenses increased by INR 7,455 crore.
- Exceptional charges of INR 4,526 crore reduced reported FY2026 profit. They related to restructuring, new labour codes and a legal claim.
- Operating cash flow of INR 52,094 crore exceeded reported profit of INR 49,454 crore, supporting the quality of earnings.
- Current assets covered current liabilities 2.23 times, indicating strong short-term liquidity, though the ratio declined from 2.32.

1. Profit and loss statement

The profit and loss statement shows what the company earned and spent during the year. Revenue growth was positive, but exceptional charges kept reported profit growth low.

INR crore	FY2026	FY2025	Change
Revenue from operations	267,021	255,324	+4.6%
Other income	4,402	3,962	+11.1%
Total income	271,423	259,286	+4.7%
Total expenses	201,410	193,955	+3.8%
Profit before exceptional items and tax	70,013	65,331	+7.2%
Exceptional charges	4,526	-	New
Profit before tax	65,487	65,331	+0.2%
Profit for the year	49,454	48,797	+1.3%
Profit attributable to shareholders	49,210	48,553	+1.4%
Basic and diluted EPS (INR)	136.01	134.19	+1.4%

Interpretation

- Revenue growth of 4.6% shows continued business expansion.
- Profit before exceptional items and tax grew 7.2%, faster than revenue, which points to stronger operating performance before one-off charges.
- Reported profit before tax grew only 0.2% because exceptional charges absorbed most of that improvement.
- Net profit margin declined from 19.1% to 18.5%. This is mainly a reported-results effect from the exceptional charges, not a revenue collapse.
- EPS increased from INR 134.19 to INR 136.01, consistent with the modest increase in shareholder profit.

Exceptional items - why they matter

Charge	FY2026 (INR crore)
Restructuring	1,388
New labour codes	2,128
Legal claim	1,010
Total	4,526

TCS separately reported profit attributable to shareholders excluding exceptional items of INR 52,820 crore, up 8.8%. This supports the conclusion that underlying performance was stronger than the 1.4% reported profit growth suggests.

2. Balance sheet and liquidity

The balance sheet is a snapshot at year-end. TCS expanded its asset base and funded most of it with equity, while maintaining a large positive working-capital position.

INR crore	31 Mar 2026	31 Mar 2025	Change
Non-current assets	46,667	36,618	+27.4%
Current assets	135,705	123,011	+10.3%
Total assets	182,372	159,629	+14.2%
Equity attributable to shareholders	107,240	94,756	+13.2%
Total equity	108,478	95,771	+13.3%
Non-current liabilities	12,980	10,857	+19.6%
Current liabilities	60,914	53,001	+14.9%
Cash and cash equivalents	6,417	8,342	-23.1%
Working capital	74,791	70,010	+6.8%

Calculated indicators

Ratio	Formula	FY2026	FY2025	Reading
Current ratio	Current assets / current liabilities	2.23	2.32	Strong; slight decline
Net profit margin	Profit for year / revenue	18.5%	19.1%	Lower due to charges
Liabilities to equity	Total liabilities / total equity	0.68	0.67	Low; broadly stable
Operating cash conversion	Operating cash flow / profit for year	105.3%	100.2%	Positive cash backing
FY2026 return on equity	Shareholder profit / avg. shareholder equity	48.7%	Not calculated	High, based on 2-year average

Important: ratios are calculated from the audited consolidated figures above. They are rounded and are intended for learning. A complete investment decision would also require industry comparisons, valuation data, management guidance and risk analysis.

Balance-sheet interpretation

- Total assets grew 14.2%, led partly by higher non-current assets and receivables.
- Total equity grew 13.3%, showing that the larger balance sheet was supported by retained value and other equity movements.
- Working capital increased to INR 74,791 crore. This means current assets exceeded current liabilities by a substantial amount.
- The current ratio declined because current liabilities grew faster than current assets. The level remains comfortable, but the direction should be monitored.

3. Cash flow, risks and final assessment

INR crore	FY2026	FY2025	Change
Operating cash flow	52,094	48,908	+6.5%
Investing cash flow	(12,845)	(2,318)	Higher outflow
Financing cash flow	(42,133)	(47,438)	Lower outflow
Net change before FX translation	(2,884)	(848)	Larger decrease
Exchange translation effect	959	174	+451.1%
Closing cash and cash equivalents	6,417	8,342	-23.1%

Cash-flow interpretation

- Operating cash generation improved and slightly exceeded annual profit, which is a positive sign for earnings quality.
- Investing outflows rose materially, including acquisition-related payments and purchases of long-term assets.
- Financing outflows remained large because TCS paid INR 39,437 crore of dividends during the year.
- Closing cash fell 23.1%, but this should be viewed together with current investments and other bank balances, not in isolation.

Key strengths

Profitability High net margin and positive underlying profit growth.	Liquidity Current assets more than twice current liabilities.	Cash generation Operating cash flow exceeded reported annual profit.
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Points to monitor

- The effect and recurrence risk of restructuring, labour-code and legal charges.
- The modest decline in net margin and current ratio.
- Receivable growth, cash balances, capital allocation and acquisition integration.
- Technology demand, pricing, currency movements, regulation and talent costs.

Final assessment

Based on the FY2026 audited consolidated statements, TCS shows strong profitability, liquidity and cash generation. The main reason reported profit did not grow as quickly as revenue was the exceptional-charge burden. The overall financial position appears resilient, but the analysis is educational and is not a recommendation to buy, hold or sell TCS shares.

Sources and calculation notes

- Tata Consultancy Services Limited, Integrated Annual Report 2025-26: <https://www.ar.tcs.com/>
- TCS Investor Relations: <https://www.tcs.com/investor-relations>
- SEBI Investor Education: <https://investor.sebi.gov.in/personalsecurities.html>
- Calculations by the analyst from audited consolidated figures; percentages may differ slightly because of rounding.